

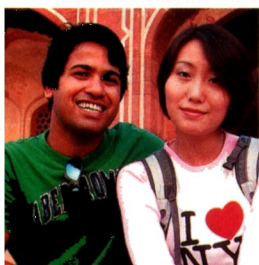
Ashok Jaiswal, 30

Company: **GlobalLogic**
Position: **Software engineer**
Salary: **Rs 18 lakh p.a.**
Family: **Two members**

How many were sacked in the company: 95

The week couldn't have started on a worse note for Ashok Jaiswal, an employee of the Noida-based IT company who was summoned by his employer only to be told that he was among the 17 employees who were being "laid off". But Jaiswal is putting up a brave

JAISWAL WITH HIS WIFE



"I have another two months to look for a job, but I have no complaints."

front. Yes, he has EMIs to pay; yes, he and his wife have cut down on eating out. "But that's life," he says, with a meek smile. "In fact, I kind of anticipated it." Given his specialised job function, finding another job will not be easy. Being a foreigner, his wife does not have a work permit yet. The only silver lining is that his employer has given him three months' salary and another three months of leave without pay. Also, they will give him first right of refusal for positions that may be available in future. **by Nandini Valsh**

It is a vignette reflected in mirrors across the country. Yet a faint mixture of dots, a dull image that is bloodied by the day as a ghoulis dance of economic destruction sweeps through the economy. Every morning urban India flips open the papers to follow the grisly tale of job losses in packaged daily episodes. People across the economic spectrum now know someone who has lost or could lose their job. The job shredders are from the marquee of the corporate world. Motorola, Goldman Sachs, American Express, Merrill Lynch, Reliance Retail, Jindal Steel, real estate major DLF, I&T Infotech, Kingfisher Airlines, Jet Airways... the pattern is similar. A rumour, an SMS followed by a speculative report that is eventually confirmed by the company.

The rumours are further fuelled by an unending stream of bad news. Barring the fall in crude oil prices to below \$57 per barrel, there has hardly been any good news. In fact, all macroeconomic indicators show a marked deterioration. Industrial output for the first six months of this fiscal, as measured by Index of Industrial Production (IIP), stood at 4.9 per cent compared to 9.5 per cent a year ago and manufacturing, which accounts for 80 per cent of the index, grew by 4.8 per cent in September, from 7.4 per cent a year ago. Exports for October dipped by 15 per cent and excise collections dropped by 8.7 per cent. The automobile sector, already battered by the domestic slowdown, reported negative growth across segments for October vis-à-vis the previous year with goods carriers—the barometer for cross-country movement of goods—performing the worst.

Across the country, bankers and brokers spend their mornings exchanging notes on bad news that isn't public yet. A steel company in south India has put off operationalising its plant because it can't find takers for its existing output. If it goes on-stream, it will be an NPA on Day 1. A real estate major has stopped work at six of its biggest projects, including a mall, and is borrowing at over 25 per cent interest to fund its liabilities hoping against hope for the market to turn around. A petrochemical giant has shut down two plants as inventory worth a billion dollars piles up. At a dealers' meeting of a multinational automobile company in Delhi, transporters and dealers exchange whispers about vendors not being paid for over 120 days. Cost-cutting has replaced top-line



growth as the new mantra. A Bangalore-based software outfit has cut fuel allowances by 40 per cent and introduced a shuttle service for which users will be charged Rs 800 per month. Such is the rigour that in one large conglomerate anyone travelling abroad has to get the chairman's sanction. Workers at knowledge processing outsourcing centres across the country are processing a different kind of knowledge. Who is losing jobs where? Companies are paring down capital expenditure to a 10th of what they had planned. It's like what Patrick Swayze tells Keanu Reeves in *Point Break*: "Fear causes hesitation and hesitation makes your worst fears come true."

Indeed, the INDIA TODAY-Ma Foi Survey, the first of its kind since the meltdown, validates the fears explicitly. The study, contacted over 1,000 companies across India, across 22 sectors, assesses future hiring intentions. Barring health, FMCG and education, virtually every sector is cutting down on hiring. In 2008, these